are actively promoting leasing for these vehicles as well.

Talking about costs, is financing a major challenge for EV startups, especially when competing against established companies like Mahindra, Bajaj, or Piaggio?

The real challenge lies in the cost of capital. The financing rates for EVs are significantly higher, starting at 18% and going up to 25-30% for smaller fleets and drivers, compared to 16-18% for conventional ICE vehicles. This high cost is due to the inability of financial institutions to accurately underwrite the asset risk of EVs, given the unclear residual value, absence of a secondary market, and vague warranties from OEMs. However, there has been progress in reducing this cost of capital. For example, ALT Mobility started leasing at a 24% capital cost, which has since decreased to nearly single digits through our deployment of about 7500 vehicles, and we are actively supporting startups as well as established fleet operators and drivers in promoting the EV transition.

What is the 'one thing' that has made ALT Mobility a success?

Our holistic approach is crucial to our financing model's success. In vehicle finance, understanding the details of the vehicle and battery's condition and usage is key to accurately assessing risk. Our data collection extends beyond battery pack information. We gather detailed data on every spare part change, tire replacements, frequency of roadside assistance calls, and insurance claims for each vehicle. This allows us to gain valuable insights and make informed decisions. This hands-on approach in acquiring and interpreting data significantly reduces risk. In our leasing model, we anticipate customer changes but maintain control over the vehicle's operation and management. This control over the underlying asset instils confidence in lenders.

Considering the rapid evolution in the EV sector and the challenges faced by startups in financing, do you recommend the lease model over traditional financing?

Absolutely. The EV sector's evolution presents unique challenges and opportunities for startups, especially in financing. We are in talks with several OEMs to develop innovative products that address these challenges. One example is the upcoming AMC product, designed to cover consumables, spares, and labour costs, making vehicle maintenance more predictable and cost-effective for drivers. In addition, a lease-to-own model can be particularly beneficial. It not only provides drivers with a path to ownership but also incentivises them to maintain the vehicle better. We're also exploring ways to help individual drivers become fleet operators by adding more vehicles based on their operational history and reliability.

Are underwriting skills of critical value?

We believe that expertise in underwriting and a deeper understanding of EVs are integral to leasing or financing this asset class. In the future, those with better underwriting skills should be able to offer more competitive rates than those who do not understand the underlying product. This approach to managing risk premiums is integral to our strategy to keep our financial books healthy and to contribute to the broader growth and acceptance of EVs in the market. EFY